

POSITION SIZING

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NOTE

- In all my charts
- Red line is 21 ema
- Green line is 50 ema
- MACD as normal settings



WHAT IS THE ART OF POSITION SIZING ?

- A part of Risk Management that could make or break your trading career
- Position sizing refers to the number of units an investor or trader invests in a particular security.
- Determining appropriate position sizing requires an investor to consider their risk tolerance and the size of the account.



- While position sizing is an important concept in most every investment type, the term is most closely associated with faster-moving investors like day traders and currency traders.
- Even with correct position sizing, investors may lose more than their specified risk limits if a stock gaps below their stop-loss order.



- POSITION SIZING :
- In simple Language how much Percentage of your Portfolio you should invest in a particular Script .
- This is very important factor that changes your returns drastically . Let us see how .
- There are rules to be followed
- Either Fix Risk per Trade Or
- Capital Allocation (%of your whole capital)



- Let's take an example
- WHEN RISK PER TRADE IS FIXED :
- TOTAL CAPITAL = 1,00,000 Rs
- RISK PER TRADE = 0.5% OF TOTAL CAPITAL
(this could vary from 1-2%)
- RISK PER TRADE = 500 Rs
- Now stock Price = 100
- Stop loss = 96 Rs
- Risk per single Stock = 4 Rs
- Total Risk per Trade = 500



- QUANTITY = RISK PER TRADE/ RISK PER SINGLE STOCK
- Quantity = $500/4 = 125$
- In this case Now Capital allocation is $125 \times 100 = 12500$
- In such Cases your capital allocation Will keep on changing for every traded depending upon your stopnloss % of that particular stock



WHEN CAPITAL ALLOCATION IS FIXED

- : General Stock Allocation = 7%
- No of Stocks to hold max = 12
- Cash to Be held Everytime = 15% (General Rule , you can change according to your risk)
- Now stock Price = 100
- Stop loss = 96 Rs
- Risk per single Stock = 4 Rs
- $7000 \div 100 = 70$ Qty



- In this case you lose max $70 \times 4 = 280$ Rs
- During Capital Allocation fixation The stop loss amount keeps on changing depending upon the particular stock.
- You can make a fixed Rule of max 10% stop loss per trade to keep losses minimum.



- Working On ideal Position Sizing Is important Why?
- 10% Move and 10% Position moves your Pf up 1%
- 10% Move And 20% Position moves Your Pf up 2%
- 10% Move and 2% Positon Moves your Pf 0.2%
- Moves are not Important Correct Pf allocation is Imp
- Dont overleverage/underbuy



- 2 golden rules of trading
- 1. You cant be right all the time. Only markets & God can be.
- 2. Even if you are right 50% of the time, you can still win if you follow right risk reward & position sizing

